

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 23-05

RAHAL INTERNATIONAL INC.,

Complainant,

v.

HAPAG-LLOYD AG and HAPAG-LLOYD (AMERICA) LLC,

Respondents and Third-Party Complainants,

v.

MAHER TERMINALS, LLC, GCT NEW YORK LP

and GCT BAYONNE LP,

Third-Party Respondents.

**ANSWER AND AFFIRMATIVE DEFENSES TO THIRD-PARTY
COMPLAINT ON BEHALF OF THIRD-PARTY RESPONDENTS IDENTIFIED AS
GCT NEW YORK LP AND GCT BAYONNE LP**

Third-party respondents, identified as GCT New York LP (“GCT NY”) and GCT Bayonne LP (“GCT Bayonne”) (collectively “GCT Third-Party Respondents”)¹, by and through their attorneys, submit this Answer and Affirmative Defenses to the Third-Party Complaint served on

¹ Effective on or about August 31, 2023, GCT New York LP and GCT Bayonne LP underwent conversions to limited liability companies and ultimately changed their names to Port Liberty New York LLC and Port Liberty Bayonne LLC, respectively. Third-Party Complainants have been advised of the foregoing but have not moved to correct or amend the pleadings to properly identify the correct names and legal entities. This answer on behalf of the GCT Third-Party Respondents is without prejudice to, and reserves all rights with respect to the identity of the captioned respondents and Port Liberty New York LLC and Port Liberty Bayonne LLC, including, but not limited to, seeking to dismiss this action or contest any decision in this action on the basis of the identity of the captioned respondents.

September 8, 2023 (“Third-Party Complaint”) by Hapag-Lloyd AG and Hapag-Lloyd (America) LLC (together, “Hapag” or “Third-Party Complainants”).

INTRODUCTION

The introductory paragraph of the Third-Party Complaint contains narrative thoughts and beliefs regarding Third-Party Complainants’ views of this action and other generalized assertions which require no response. To the extent a response is required, GCT Third-Party Respondents deny the matters alleged in the introductory paragraph.

SPECIFIC ALLEGATIONS

1. Paragraph 1 contains vague and generalized allegations, thoughts and impressions regarding the rationale for bringing the Third-Party Complaint, which require no response. To the extent a response is required, GCT Third-Party Respondents deny the allegations in Paragraph 1.

2. Paragraph 2 contains vague and generalized allegations, generalized recitation and impressions of the Verified Complaint, and rationales for filing the Third-Party Complaint, which require no response. To the extent a response is required, GCT Third-Party Respondents deny the allegations in Paragraph 2.

SECTION I. COMPLAINANT

3. Paragraph 3 contains no factual allegations with respect to the GCT Third-Party Respondents and thus no response is required. To the extent the allegations in Paragraph 3 require a response, the GCT Third-Party Respondents are without knowledge and information sufficient to form a belief as to the allegations set forth in Paragraph 3 and they are denied.

SECTION II. RESPONDENTS/THIRD PARTY COMPLAINANTS

4. Paragraph 4 contains no factual allegations with respect to the GCT Third-Party Respondents and thus no response is required. To the extent the allegations in Paragraph 4 require

a response, GCT Third-Party Respondents are without knowledge and information sufficient to form a belief as to the allegations set forth in Paragraph 4.

5. Paragraph 5 contains no factual allegations with respect to the GCT Third-Party Respondents and thus no response is required. To the extent the allegations in Paragraph 5 require a response, GCT Third-Party Respondents are without knowledge and information sufficient to form a belief as to the allegations set forth in Paragraph 5.

6. Paragraph 6 contains no factual allegations with respect to the GCT Third-Party Respondents and thus no response is required. To the extent the allegations in Paragraph 6 require a response, GCT Third-Party Respondents are without knowledge and information sufficient to form a belief as to the allegations set forth in Paragraph 6.

SECTION III. THIRD-PARTY RESPONDENTS

7. Paragraph 7 contains no factual allegations with respect to the GCT Third-Party Respondents and thus no response is required. To the extent the allegations in Paragraph 7 require a response, GCT Third-Party Respondents are without knowledge and information sufficient to form a belief as to the allegations set forth in Paragraph 7.

8. The allegations in Paragraph 8 that “Third-Party Respondents GCT is a marine terminal operator located at 300 Western Avenue, Staten Island, New York 10303” are denied. The terminal formerly operated by the entity GCT NY is Port Liberty New York LLC, which operates the marine terminal located at 300 Western Avenue, Staten Island, New York 10303, and the terminal formerly operated by the entity GCT Bayonne is Port Liberty Bayonne LLC, which operates the marine terminal located at 302 Port Jersey Blvd., Jersey City, NJ, 07305.

SECTION IV. JURISDICTION

9. Paragraph 9 contains no factual allegations with respect to the GCT Third-Party Respondents and states a legal conclusion to which no response is required.

10. Paragraph 10 contains no factual allegations with respect to the GCT Third-Party Respondents and states a legal conclusion to which no response is required.

11. The GCT Third-Party Respondents deny the allegations in Paragraph 11.

12. Paragraph 12 contains compound allegations not capable of a response, states a legal conclusion to which no response is required, and to the extent a response is required, the GCT Third-Party Respondents are without knowledge and information sufficient to form a belief as to the truth of the allegations contained in the balance of Paragraph 12, which are therefore denied.

SECTION V. INITIAL COMPLAINT AND ANSWER

13. The GCT Third-Party Respondents admit, based on information and belief derived from review of docketed filings in the Federal Maritime Commission (“FMC”) reading room in this docket, that the FMC served a Verified Complaint on June 30, 2023, but the GCT Third-Party Respondents are without knowledge and information sufficient to form a belief as to when the Verified Complaint was filed or whether the document attached as Exhibit A to the Third-Party Complaint accurately reflects the Verified Complaint as filed by Complainant, and therefore otherwise deny the allegations in Paragraph 13.

14. Paragraph 14 contains Third-Party Complainants’ recharacterizations of uncited portions of the Verified Complaint to which no response is required. The Verified Complaint referred to in Paragraph 14 speaks for itself. To the extent a response is required, the GCT Third-Party Respondents otherwise deny the allegations in Paragraph 14.

15. The GCT Third-Party Respondents, based on information and belief derived from reported titles and dates of filings in the FMC reading room in this docket, admit the allegations in Paragraph 15.

16. The GCT Third-Party Respondents, based on information and belief derived from reported titles and dates of filings in the FMC reading room in this docket, admit the allegations in Paragraph 16.

17. The GCT Third-Party Respondents, based on information and belief derived from reported titles and dates of filings in the FMC reading room in this docket, admit the allegations in the first clause of Paragraph 17. The Answer referred to in the second clause of Paragraph 17 speaks for itself and the GCT Third-Party Respondents are without knowledge and information sufficient to form a belief as whether the document attached as Exhibit B to the Third-Party Complaint accurately reflects the Answer as filed by the Third-Party Complainants, and therefore otherwise deny the allegations in Paragraph 17.

18. Paragraph 18 contains Third-Party Complainants' recharacterizations of uncited portions of the Answer to which no response is required. The Answer referred to in Paragraph 18 speaks for itself. To the extent a response is required, the GCT Third-Party Respondents otherwise deny the allegations in Paragraph 18.

19. Paragraph 19 contains compound allegations not capable of a response, and to the extent a response is required, the GCT Third-Party Respondents are without knowledge and information sufficient to form a belief as to the truth of the allegations contained in Paragraph 19, which are therefore denied.

20. Paragraph 20 contains compound allegations not capable of a response, and to the extent a response is required, the GCT Third-Party Respondents are without knowledge and information

sufficient to form a belief as to the truth of the allegations contained in Paragraph 20, which are therefore denied.

21. Paragraph 21 contains compound allegations not capable of a response, and to the extent a response is required, the GCT Third-Party Respondents are without knowledge and information sufficient to form a belief as to the truth of the allegations contained in Paragraph 21, which are therefore denied.

22. Paragraph 22 contains compound allegations not capable of a response, and to the extent a response is required, the GCT Third-Party Respondents are without knowledge and information sufficient to form a belief as to the truth of the allegations contained in Paragraph 22, which are therefore denied.

23. Paragraph 23 contains Third-Party Complainants' recharacterizations of uncited portions of the Answer to which no response is required. The Answer referred to by implication in Paragraph 23 speaks for itself. To the extent a response is required, the GCT Third-Party Respondents are without knowledge and information sufficient to form a belief as to the truth of the balance of the allegations contained in Paragraph 23, which are therefore denied.

24. Paragraph 24 contains Third-Party Complainants' recharacterizations of uncited portions of the Answer to which no response is required. The Answer referred to by implication in Paragraph 24 speaks for itself. To the extent a response is required, GCT Third-Party Respondents are without knowledge and information sufficient to form a belief as to the truth of the balance of the allegations contained in Paragraph 24, which are therefore denied.

SECTION VI. FACTUAL ALLEGATIONS

25. The GCT Third-Party Respondents admit the allegations in Paragraph 25.

26. The GCT Third-Party Respondents deny the allegations in Paragraph 26.

27. The GCT Third-Party Respondents deny the allegations in Paragraph 27.

28. Paragraph 28 contains compound allegations not capable of a response, allegations that are vague and ambiguous regarding the referenced “underlying terminal services agreement” and/or which of the Third-Party Respondents the Third-Party Complaint is referring to; however, only with respect to the reference to a terminal service agreement, GCT Third-Party Respondents admit that Hapag-Lloyd has a Terminal Service Agreement with GCT Third-Party Respondents. The GCT Third-Party Respondents are without knowledge and information sufficient to form a belief as to the truth of the allegations contained in Paragraph 28 and they are therefore denied.

29. The allegations set forth in Paragraph 29 of the Third-Party Complaint are compound, vague and ambiguous and not capable of a response, and therefore do not require a response. To the extent a response is required, the GCT Third-Party Respondents deny the allegations in Paragraph 29.

30. The allegations set forth in Paragraph 30 of the Third-Party Complaint are compound, vague and ambiguous and not capable of a response, and therefore do not require a response. To the extent a response is required, the GCT Third-Party Respondents deny the allegations in Paragraph 30.

31. The GCT Third-Party Respondents deny the allegations in Paragraph 31.

32. The allegations set forth in Paragraph 32 of the Third-Party Complaint are compound and not capable of a response, state a legal conclusion, and therefore do not require a response. To the extent the allegations and conclusions require a response, the GCT Third-Party Respondents deny the allegations in Paragraph 32.

33. The allegations set forth in Paragraph 33 of the Third-Party Complaint are compound and therefore do not require a response. To the extent the allegations require a response, the GCT Third-Party Respondents deny the allegations in Paragraph 33.

34. The allegations set forth in Paragraph 34 of the Third-Party Complaint are compound and not capable of a response and therefore do not require a response. To the extent the allegations require a response, the GCT Third-Party Respondents deny the allegations in Paragraph 34.

35. The GCT Third-Party Respondents are without knowledge and information sufficient to form a belief as to the truth of the allegations contained in Paragraph 35 and they are therefore denied.

36. The allegations set forth in Paragraph 36 of the Third-Party Complaint are compound and not capable of a response and therefore do not require a response. To the extent the allegations require a response, the GCT Third-Party Respondents deny the allegations in Paragraph 36.

37. The GCT Third-Party Respondents deny the allegations in Paragraph 37.

SECTION VII. CAUSATION AND INJURY TO COMPLAINANT

38. The GCT Third-Party Respondents deny the allegations in Paragraph 38.

39. The GCT Third-Party Respondents deny the allegations in Paragraph 39.

40. The GCT Third-Party Respondents deny the allegations in Paragraph 40.

SECTION VIII. PLACE OF HEARING

41. The allegations in Paragraph 41 of the Third-Party Complaint do not require a response as they contain Third-Party Complainants' request for a hearing and its preference for location.

SECTION IX. PRAYER FOR RELIEF

Third-Party Complainants' prayer for relief contains legal conclusions and does not contain allegations to which a response is required. To the extent that a response is required, the GCT

Third-Party Respondents deny the allegations of the Third-Party Complaint and deny the prayer for relief.

AFFIRMATIVE DEFENSES

1. The Third-Party Complaint fails to state a claim upon which relief may be granted.
2. The Third-Party Complaint lacks Shipping Act jurisdiction over the GCT Third-Party Respondents for the claims and causes of action alleged.
3. Third-Party Complainants' alleged losses and damages, if any, were not caused by any unlawful actions or inactions of the GCT Third-Party Respondents.
4. The losses and damages complained of in the Verified Complaint and the Third-Party Complaint were caused by the Third-Party Complainants and/or third parties over which the GCT Third-Party Respondents had no control.
5. The containers identified in the Verified Complaint and the Third-Party Complaint were not handled by either of the GCT Third-Party Respondents.
6. Neither the Verified Complaint nor the Third-Party Complaint identify any containers handled by either of the GCT Third-Party Respondents.
7. The Federal Maritime Commission lacks jurisdiction over the Third-Party Complaint to the extent that the claims in the Third-Party Complaint are premised on contractual indemnification.
8. The Federal Maritime Commission lacks jurisdiction over the Third-Party Complaint to the extent that the claims in the Third-Party Complaint are premised on breach of contract.
9. The Third-Party Complaint should be dismissed to the extent that the named Third-Party Respondents GCT New York LP and GCT Bayonne LP are not the correct legal entities.

10. The Federal Maritime Commission lacks subject matter jurisdiction over the Third-Party Complaint to the extent that the claims in the Third-Party Complaint are premised on claims for cargo loss or damage, including, but not limited to, claims subject to the United States Carriage of Goods by Sea Act, Title 46 U.S.C.A. § 1300, *et seq.*
11. Complainant and Third-Party Complainants failed to mitigate their damages.
12. The losses and damages complained of in the Third-Party Complaint are barred, in whole or in part, by the doctrine of reliance.
13. The losses and damages complained of in the Third-Party Complaint are barred, in whole or in part, by contract.
14. The losses and damages complained of in the Third-Party Complaint are barred, in whole or in part, by indemnity.
15. The losses and damages complained of in the Third-Party Complaint are barred, in whole or in part, by the filed rate doctrine.
16. The losses and damages complained of in the Third-Party Complaint are barred, in whole or in part, by the collateral source doctrine.
17. The claims raised and the losses and damages sought in both the Third-Party Complaint and the Verified Complaint were the result of unforeseeable intervening or superseding acts of others independent of the GCT Third-Party Respondents.
18. The GCT Third-Party Respondents reserve the right to assert any additional affirmative defenses that may develop through further discovery in this proceeding.

WHEREFORE, the GCT Third-Party Respondents respectfully request that the Third-Party Complaint be dismissed with prejudice.

HOLLAND & KNIGHT LLP

By: /s/ Gerald A. Morrissey III

Gerald A. Morrissey III
Kristine O. Little
800 17th Street N.W., Suite 1100
Washington, D.C. 20006
Telephone: (202) 469-5497
gerald.morrissey@hklaw.com
kristine.little@hklaw.com

Counsel to Third-Party Respondents

DATED: December 18, 2023

VERIFICATION

I, John Atkins, hereby verify as follows:

1. I am President of Port Liberty New York LLC and Port Liberty Bayonne LLC (entities operating the marine container terminals formerly operated by GCT New York LP and GCT Bayonne LP, each of which underwent a conversion of its corporate form and change of name).
2. I am authorized to make this verification on behalf of the GCT Third-Party Respondents.
3. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

Dated: December 18, 2023

Respectfully submitted,

A handwritten signature in black ink, appearing to read 'John Atkins', written over a horizontal line.

John Atkins
President, Port Liberty New York LLC
President, Port Liberty Bayonne LLC

CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

Complainant:

William M. Fennell
GIULIANO MCDONNELL & PERRONE,
LLP
170 Old Country Road, Suite 608
Mineola, New York 11501
Telephone: (646) 328-0120
WFennell@GMPlawfirm.com

Respondents :

Wayne Rohde
Kathryn Sobotta
Rachel Schwartz
COZEN O'CONNOR
1200 19th Street NW
Washington, DC 20036
Telephone: (202) 463-2507
wrohde@cozen.com
ksobotta@cozen.com
rschwartz@cozen.com

Third-Party Complainants:

Jake Evans
Timothy McLister
GREENBERG TRAURIG, LLP
Terminus 200
333 Piedmont Road NE, Suite 2500
Atlanta, Georgia 30305
Telephone: (678) 553-2100
Jake.Evans@gtlaw.com
Timothy.McLister@gtlaw.com

Third-Party Respondents

Michael Cross, Esq.
Christopher R. Paldino, Esq.
Thomas A. Rowland, Esq.
CHIESA SHAHINIAN & GIANTOMASI
PC
105 Eisenhower Parkway
Roseland, New Jersey 07068
Tel. (973) 325-1500
mcross@csglaw.com
cpaldino@csglaw.com
trowland@csglaw.com

Executed: December 18, 2023

By: /s/ Kristine O. Little
Kristine O. Little